



12.1 INTRODUCTION

Given the risk involved in entering the F&O markets it is crucial to understand proper risk management measures. We must keep them in mind as we move ahead in the markets. Risk Management is the core of any good trading strategy. A strategy that does not take care of risk management, will eventually suffer one day and is not sustainable. Particularly, with Futures and Options market, it is even more important as high leverage is used. We do not want to risk our survival under any circumstances in any trading position. We do not want to be in a position ever where there is even a slight possibility that we might lose more than what we have.